

India Strategy

AI vs Human II: The Gen AI Disruption Playbook - What Markets Are Missing



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Most of the global commentary on Gen AI is focused on the AI supply chain but as adoption hits scale, its disruptive impact will be hard to miss. Will the economic fallout be felt most acutely in developed economies, and will that in turn trigger tighter controls on AI adoption? Amid the myths and noise around these questions, we set out here our data-backed view.

The dominant narrative falters: The most pervasive AI storyline says knowledge industries will be hit hardest, entry-level roles will disappear first, and low-cost labor economies—India, Indonesia, Mexico—face the greatest threat because their growth is built on arbitrage. Yet these claims reveal a striking disconnect. Information and knowledge sectors account for only 1–4% of employment in most middle-income economies versus 6–10% in high-income ones, and the gap in GDP share is even wider: services contribute about 50–60% of output in middle-income countries (median 55%), compared with more than 70% in advanced economies. This is the first serious challenge to the conventional view that lower-income economies are most exposed.

Enter wages, and the narrative breaks: The second pillar of the argument is wages, where differentials make the picture starker. A typical software engineer earns around 10,000 dollars a year in India, versus roughly 130,000 dollars in the US and 80,000 dollars in the UK. The pattern repeats across accountants, paralegals, data analysts—any white-collar category where AI is advancing rapidly. Replacing a 10,000-dollar worker with AI yields only marginal savings; replacing a 100,000-dollar worker is transformative for most organizations. And if firms adopt human-in-the-loop systems that retain a limited pool of decision-makers (and risk-bearers), which humans make the most economic sense to keep?

Why the inverse market reaction? Despite this, equity markets in middle-income economies such as India and Indonesia have borne the brunt of the AI trade, while the US and Korea have surged. Are markets being irrational? Not entirely: large, pure-play AI names are scarce in most emerging markets, and the cost-competitive labor model underpinning India's services boom does face genuine disruption. Broad indices in middle-income economies also have higher exposure to IT services (around 5% versus 2.9% for high-income peers). These risks are real but finite. Markets are pricing the next few quarters, not the next few decades—and that temporal myopia may be creating the next big blind spot where opportunity lies.

AI, the great leveller? The title may be unexpected, but the logic is straightforward. Given current service-sector employment and existing income inequality, we estimate an average 10% hit to national income in middle-income economies, versus about 22% in high-income economies. The burden will fall disproportionately on the next-richest 9–10% income cohort after the top ~1%. In that sense, AI becomes a leveller along two dimensions: narrowing income gaps between high- and middle-income countries, and flattening income distributions beyond the top 1% within economies.

DETAILS

SUMMARY IMPLICATIONS

Our analysis yields that if all things are left on autopilot, we might see a case where each firm surges ahead in AI adoption till the point the displacement from it exceeds the new jobs it can create. At that point, a real economic pyramid transformation will happen, with developed economies being impacted first as well as more severely. Middle income economies will see lesser impact in absolute value terms but will also see their chances of “upgrading” up the income cohort diminish to virtually zero with time. We see an exceptionally rich top ~1% across economies which holds a disproportionate share of income, followed by a more equal remaining 99%. This can have devastating consequences for most discretionary consumer names across economies that rely on significant volumes, with only ultra-luxury brands serving the top 1% surviving somehow. Advanced economies have the most to lose.

Practically, we believe AI to become an industry with tight government regulations - be it minimum employment mandates or restrictions on usage. Eventually, AI can actually end up bringing income levels for most humans closer together, rather than bridging it apart. In those terms, AI can be the great human leveller - for the good or bad.

IS THERE SOMETHING FUNDAMENTALLY WRONG IN OUR AI ASSESSMENTS?

We often sing laurels of the massive productivity benefits emanating from Artificial intelligence, or sound death knells for certain knowledge industries owing to the sheer disruption it brings. What we inevitably end up missing is the bigger picture. This is where we will attempt to fill that void. You will find this note a rather atypical one. Our thoughts will evolve as we proceed, and our inferences will shape up by challenging what are currently commonly accepted notions on AI. We will structure this reading more as a thought note, using data wherever needed to make a point or challenge existing views, but only our thoughts to form new views and implications. The reader is encouraged to think along with us. Here we go!

THE AI AGE - WHY IS IT DIFFERENT FROM PREVIOUS DISRUPTIONS?

The basic mistake that we often hear when it comes to AI is people grossly simplifying it and equating it to previous technological innovations. This is a popular method and does simplify things a lot - since it allows you to see an unknown through the lenses of history - where events and outcomes are known. Sadly, this works for incremental changes. Hence, comparing AI to things like industrial revolution or the computer age have that big inherent flaw: the nature is very different. Moreover, the machines during industrial revolution and computers more than a century later had an inherent goal in mind - increasing productivity. The power loom and threshing machines were intended to replace the caloric input of humans with the mechanical input of steam and iron. The intent was primarily bypassing the physiological limits of human endurance - making the same humans displayed productivity at an elevated, highly efficient scale. AI, at least as per the trends till now, is packaged as a productivity booster while being designed to actually altogether replace cognitive tasks of humans. This never happened before. The machines were not built to operate themselves, the computers were not built to program themselves. But AI, especially with agentic AI - is being designed to do just that. In such a scenario, does the age old adage of “it kills some jobs but creates many more” really work?

Another thing that changed significantly over the previous disruptions was the material or information consumption. Industrial revolution caused a massive expansion of the labor market into entirely new domains. In 1800s, the vast majority of workforce even in today's industrialized economies (UK, US) was agricultural. A century later, the revolution had created previously inconceivable roles - factory managers, engineers, and machine operators. The computer age birthed an innovation surplus that created future industries like software, internet, digital marketing, e-commerce - each with its own workforce and set of experts. AI is deviating from this lineage fundamentally. It has, at least so far, neither attempted nor indicated to create a new industry - but rather penetrated deeply into existing industries by “understanding” what was previously unstructured data or information. This targets tacit knowledge - the complex, intuitive understanding that usually high-level professionals develop through years of experience, something which was rendered un-automable during the computer age. In such a scenario - there may be far lesser “safer havens” for jobs to switch to once AI comes threatening their existence. Will AI create jobs is not the question, will it at least create as many as it replaces is the one. And it looks far from doing so.

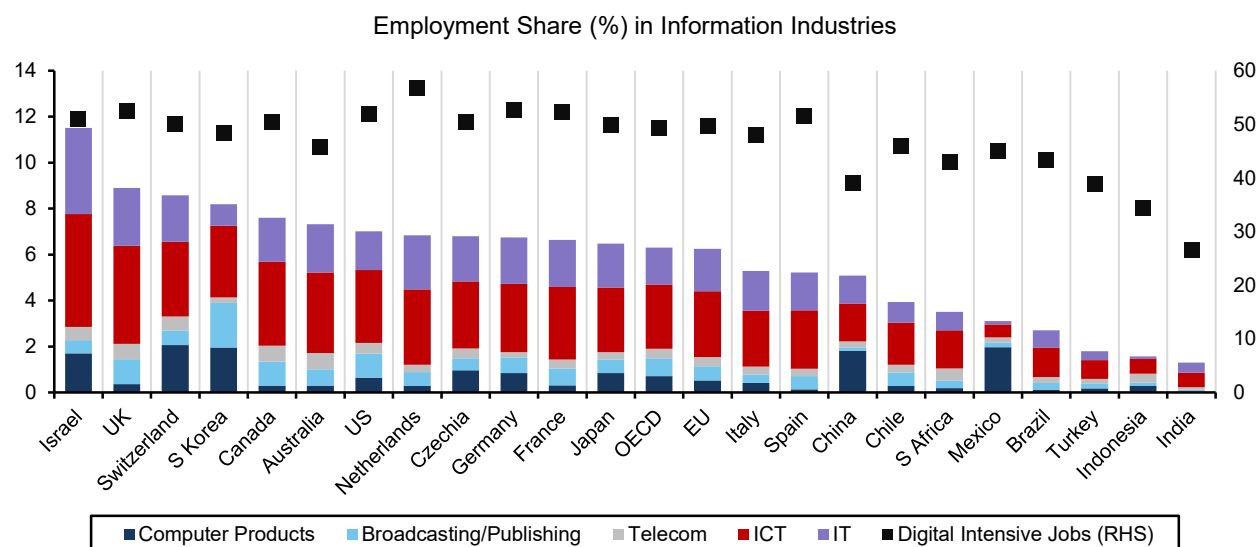
ESTIMATING THE EMPLOYMENT EFFECT

This is not the usual assessment of which jobs are at most risk due to AI, for which there have been umpteen articles till date already. This is the section where we're actually taking it a step further. With the assumption of the jobs exposed to AI the most, what is the next obvious step that can happen in those? This is rather a long period view envisioning how things may look in an AI-saturated world - so we will not reiterate our views on IT impact being overstated, as we have been observing in our previous AI vs Human notes.

1. IDENTIFYING THE JOBS

Often, when we hear the employment impact of AI we hear terms like knowledge industries, less decision-making roles or entry level roles. We have already busted some of the myths in our [previous AI vs Human note](#) regarding junior roles and pace of adoption. However, considering the information industry does get affected sooner or later, let's take a look at the share of employment. The high income countries take the top spots when it comes to more reliance on information industries when it comes to employment, with 7-10% of the total workforce directly employed in industries like IT, audiovisual/broadcasting, telecom and information communication. Middle income countries like Indonesia and India lag far behind - even if one includes non-information jobs that have an indirect reliance on digital (eg healthcare, finance or retail jobs that use digital solutions). This is the first point of alarm for the relatively well set notion that countries like India face massive AI disruption.

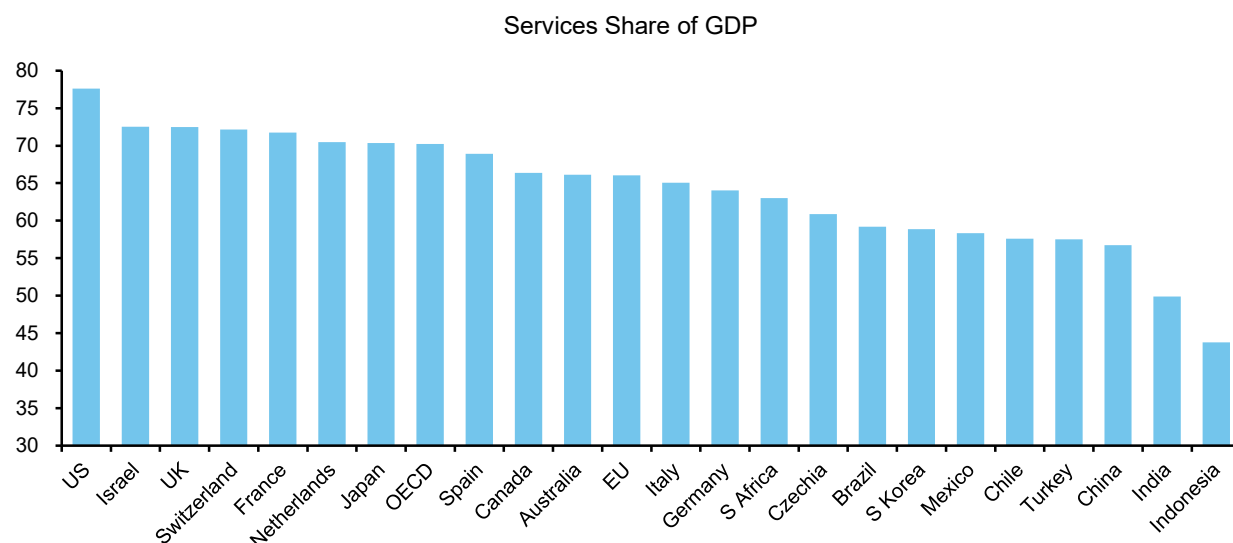
EXHIBIT 1: **Middle income economies have far lower workforce share in information industries compared to high income ones**



Employment share is provided as of 2018. Broadcasting/Publishing includes audiovisual industries, IT also includes industries like data analytics
Source: OECD, Bernstein Analysis

This is about share in employment. What about share in economy? Perhaps even lesser workforce can have massive implications for productivity. While direct contribution to GDP from information sector is very difficult to calculate for all countries due to differing reporting and calculation standards for industries, we take services value add as a percent of GDP as a proxy to determine the relative importance of information industries in the GDP of different countries. Perhaps unsurprisingly, India lags developed nations even here. Even though services contributes a lion's share (>50% of overall GVA), this pales in comparison to what developed countries' services sector contribute to their economy. Hence, both in terms of employment as well as economic contribution - the developing world still seems like a lesser of a loser to AI.

EXHIBIT 2: Not only employment, but in overall share of GDP too, emerging economies are less reliant on services than high income ones

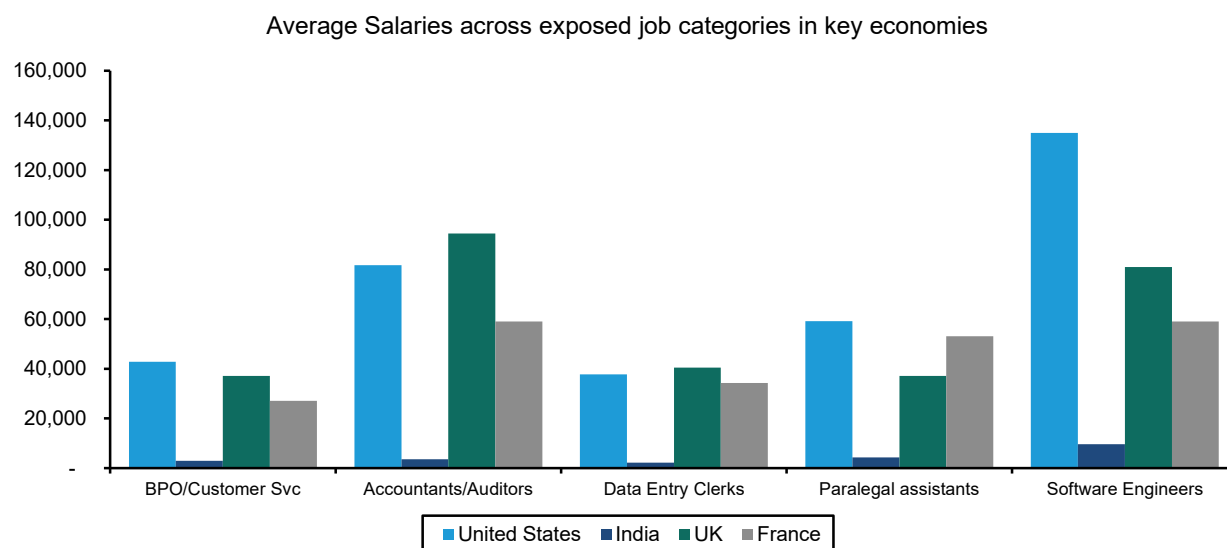


Values as of Calendar Years 2023/24 - whichever is available latest. The figures measure value added in services industries as a percent of total GDP for that year
Source: World Bank, Bernstein Analysis

2. THE WAGE EFFECT

Let's look at some of the prime candidates for disruption - BPO, Customer services, accountants, data entry clerks, paralegal assistants and software engineers. The average wages for these jobs vary widely across the globe - but one trend holds: the middle income countries and high income countries depict a sharp wedge for the same jobs. Take the case of software engineers - where the average wages in India are in the range of \$10,000 annually. The same cross over \$100,000 in US, while are well above \$60,000 in many other high income countries. So when AI does come knocking and the adoption skyrockets, which will be the easiest roles to cut and replace by AI subscriptions? If at all some form of a human-in-the-loop system is kept at that advanced stage, those humans will likely be leaning more towards the high skilled ones in the middle income countries - more of \$40,000 engineers in India rather than \$200k ones in the US. While unsettling for all countries - since most engineers lose out irrespective of their location, the stakes for high income countries appear even starker in the long term.

EXHIBIT 3: Emerging economies have salaries an order of magnitude below those of high income economies for the same roles



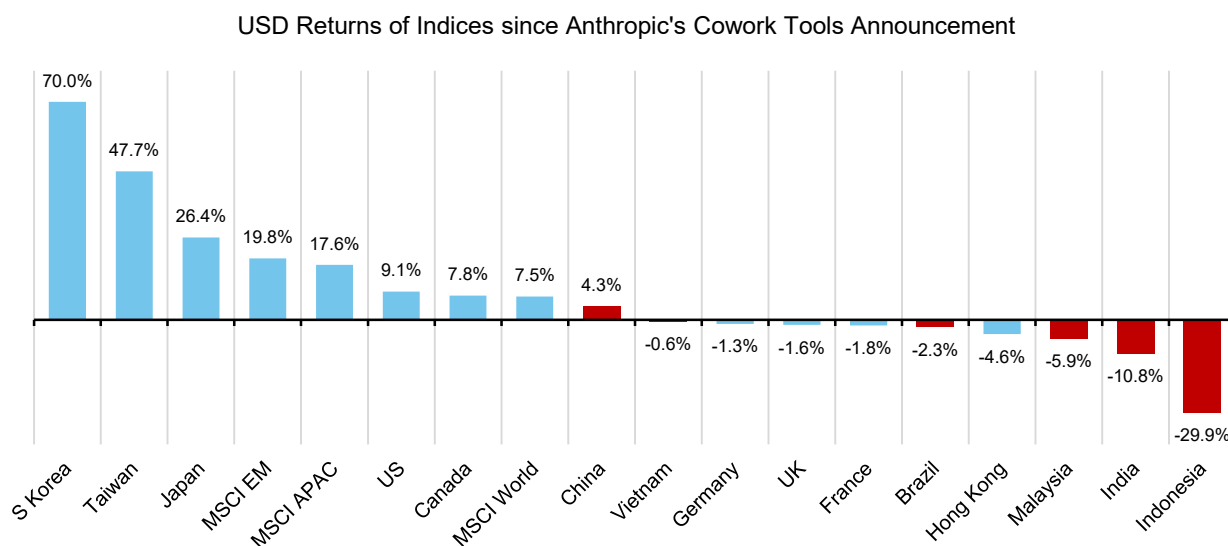
Source: Bureau of Labor Statistics, IFR.org, Salary.com, Paylab.com, Sixth Tone, FusionCX, Bernstein Analysis

So why then are the markets displaying this anomaly? Contrary to what we've established, the markets of emerging economies like India or Indonesia are the worst performing since we heard Anthropic announce cowork tools capable of automating significant IT or documentation work.

There is one clear explanation to this. The short-sighted nature of markets: the immediate effect apparently lies in having some major beneficiaries of AI in markets like Korea, Taiwan or US. India or Indonesia haven't really been an AI play - they don't make semiconductors, don't design them, don't make memory or own any foundational models, but are rather the disrupted ones in the AI wave. So while there are beneficiaries in other markets, there appear to be none in India. This is enough to drag down broader markets with c10% IT services exposure. The long term economic impacts aren't really priced in at this moment. Nobody really is thinking that far.

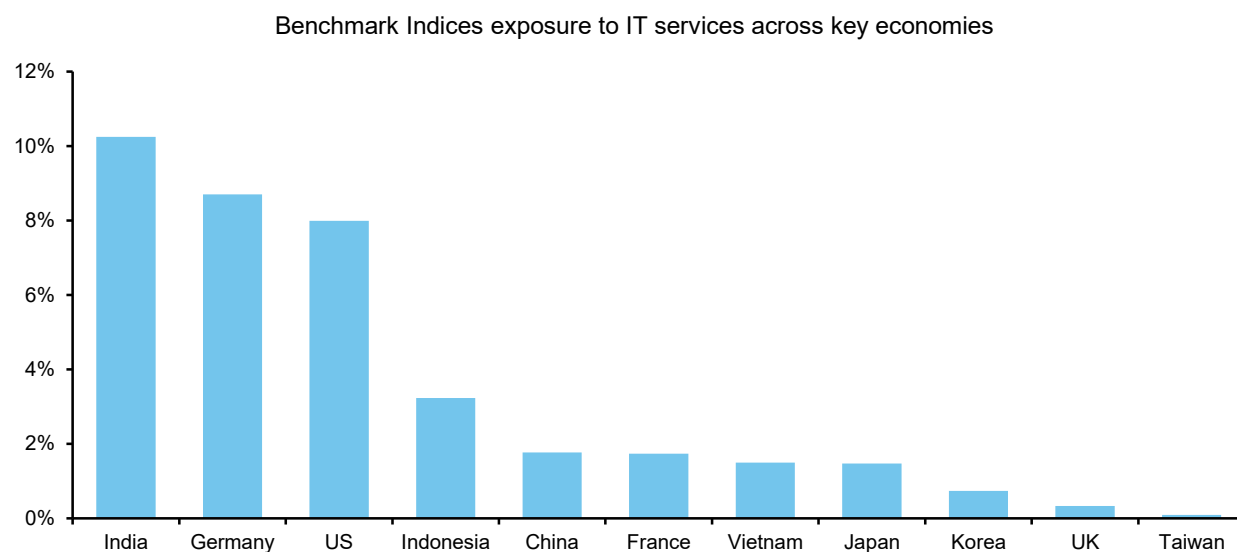
There's another thing that, indeed, bodes rather poorly for the emerging markets. Most of these have been factoring a rise through the labor arbitrage: excess labor which is several times cheaper than those in the developed economies, and a globalisation wave that lasts enough to bridge the salary gaps somewhat over time. China's meteoric rise was virtually fueled by a highly productive and cheap labor force which numerically had no equal anywhere on earth. India's software workforce, for instance, export over \$200 billion worth of services annually outside - primarily to these high income countries. Once that very low-cost advantage is on the verge of erosion by a technology that can create faceless agents doing similar work, the catch-up trade of low and middle income economies virtually ends. This is the big concern for the AI wave: we might not have much income transitions among economies in the future - effectively freezing the current state forever.

EXHIBIT 4: Markets of middle income economies (highlighted in red) have seen the steepest falls since the spurt of AI announcements



Returns are tracked since Anthropic made Feb 2 announcement of tools automating complex, specialized tasks - including legal
Source: Bloomberg, Bernstein Analysis

EXHIBIT 5: India has among the highest exposure to IT services in its benchmark indices



Only software services are included - which means product tech companies are not part of the calculation
Source: Bloomberg, Bernstein Analysis

HUMANITY IN THE AI AGE - ENVISIONING THE FUTURE

While markets may not be thinking that far ahead, we will have to. While counting the numbers of displaced workers or obsolete roles, we often forget that these workers also act as consumers and make up a significant part of the workforce. So as AI adoption increases more and more displacing these workers, consumption has to suffer down the line. This is the lesser discussed catch of the AI productivity boom. The early stages will not suffer from this issue, so the quick adopters are poised to gain, at least for the time being.

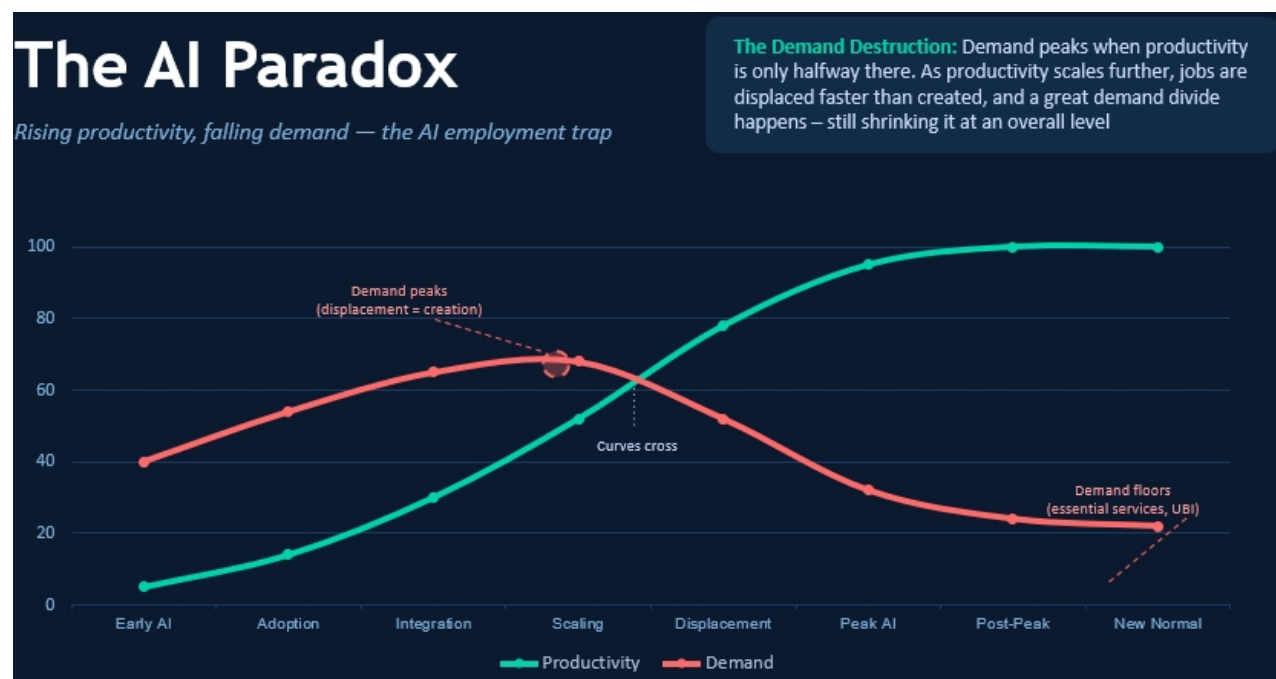
MOVING TOWARDS A PARETO INEFFICIENT NASH EQUILIBRIUM?

So how does this all play out? A firm notices it can reduce costs and achieve more with AI agents instead of actual people, and it cuts down on some roles. Firms do that at a smaller scale to begin with, and productivity begins to rise. The displaced people are significant but limited - some of them find new jobs, many have accumulated savings, while the people gaining from the boom are also large enough in numbers. Overall, we see demand for goods and services go up. Firms who are the early movers in the AI age stand to gain.

Now, more and more firms enter the fore, and the early movers shift to mass AI adoption. Productivity rises rapidly, but as more and more roles are cut and people displaced start exceeding new jobs that can be created, the demand starts coming down. This is the age of true scaling of AI, when demand stops moving in tandem with productivity. Pure economic sense for firms still dictates increasing adoption - given one stopping short of it while others continue constitute a case when the one who backs out is worse off. Does this remind us of something? A Pareto inefficient Nash equilibrium - akin to the prisoner's dilemma problem. Eventually, the adoption is high enough that displaced workers outnumber any new job creation - resulting in demand coming down over time, before settling at a lower level.

This is the situation we've highlighted in [Exhibit 6](#), and in the absence of any major government intervention or a jolt to the AI growth, constitutes a natural equilibrium. Let's be blunt about it - this is not a doomsday scenario for a few industries like IT or call centres. This is a death knell for global economy as a whole, which goes on much beyond the traditional AI linked sectors.

EXHIBIT 6: Limitless productivity increase does not increase demand infinitely; it rather gradually kills it



Source: Bernstein Analysis

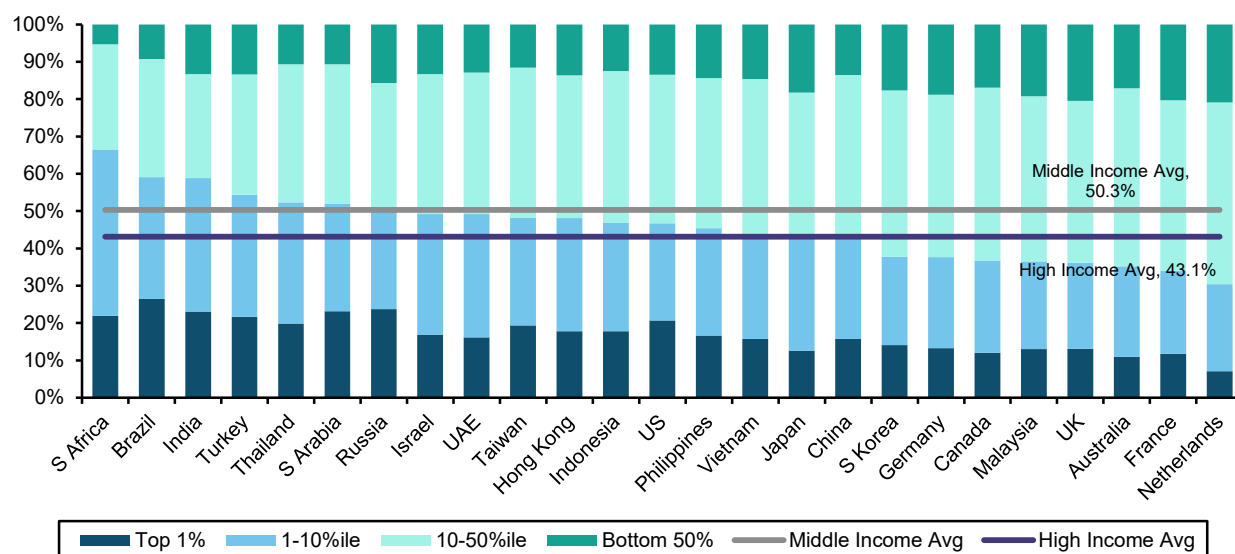
WHAT HAPPENS TO INCOME PYRAMIDS?

With all said and done, let's come to the meat of the issue - income pyramids. With workers in knowledge industries being the first to lose out on jobs due to the AI wave, it is natural to think their share of income would disappear first. Assuming they're usually in the top bucket of earners in any economy, [Exhibit 7](#) comes across as a major headache for middle income countries - which depict the highest income inequality, as top 10% earn over 50% of national income on average, versus 43% for high income economies. For top 3 among the key economies considered (S Africa, Brazil and India), this is as high as 60%. Even if we consider the top <1% to be relatively unaffected (given AI linked gains will be concentrated at the very top), the income share of the next 9% too is quite high in middle income countries, though the difference reduces. The next 9% earn 31% of the total national income in middle income economies, vis-a-vis 27% for high income ones.

So what happens in the later stages of AI adoption - stages that range from Displacement to Peak AI and Post-Peak as in [Exhibit 6](#)? We may see large portion of the 31% national income of middle income countries suffer significant erosion. But what about high income ones? The figure will not be for merely 27%, given we noted higher knowledge industries share in total employment. Instead, it could be as high as, or most likely higher than seen by middle income countries. Considering the average employment in service industries as seen in [Exhibit 1](#): 2.9% for middle income countries vs 7.2% for high income countries, we calculate a 10% drop in the national income of middle income countries, vs a more severe 22% drop in the national income of high income countries. The real number will be slightly lower given some workers in knowledge industries will end up saving their jobs. Our calculation also assumes that the entire knowledge workers lie in that cohort of next 9% rich people, and no other cohort is impacted due to AI. This actually bridges a large gap between high and middle income countries, even at the cost of permanently damaging the “richness” prospects of the poorer countries in this process. Middle income countries may have large population share in agriculture and low-level manufacturing that could work as a failsafe. Advanced economies may not enjoy those privileges, save for a few.

Thus, the irony is that the same AI which threatens to concentrate wealth in the hands of a select few rich may end up bridging a significant gap between rich and poor economies at a rapid pace. The flipside to this is the state may lie stagnant there, given the labor arbitrage model effectively ends at that. Even within the economies, the income concentration will be skewed: the top 1% take a lion's share of national income while the remaining population becomes “more equal” in terms of income distribution.

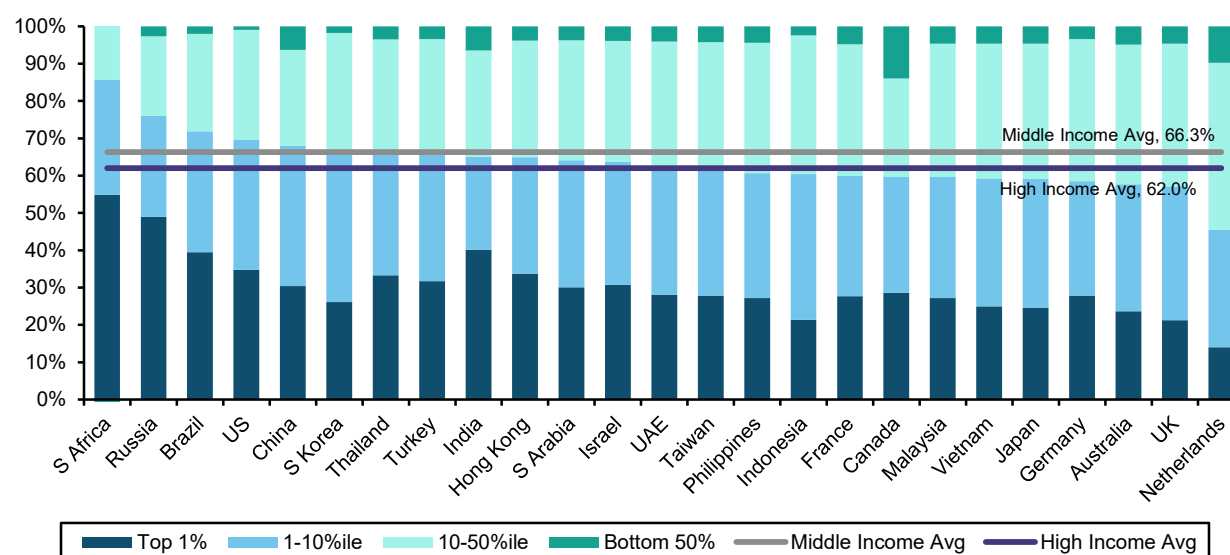
EXHIBIT 7: When it comes to income inequality, middle income economies are far less equal - with top 10% having over 50% of national income. The corresponding number for high income economies is 43%



Source: World Inequality Database, Bernstein Analysis

Eventually, government regulations will have to come in various forms to avoid extreme effects of AI on economies and their internal pyramid structure. In the distant future and the age of all-powerful and all-penetrating AI systems, we might see measures like Universal Basic Income (UBI), regulations on wages and minimum employment, or even taxes on AI adoption by firms. This will act as a downward pressure on income inequality in many cohorts. Accumulated wealth, rather than income, may become the driving factor of discretionary consumption in such a scenario. Interestingly, when it comes to wealth, we don't see a sharp wedge between developing and developed economies. In fact, removing the extreme cases of South Africa and Netherlands from our economies, the share of wealth held by top 10% remains similar for both high income and middle income countries at ~64%. Given our previous assessment (more households being discretionary consumers in high income countries), the consumption impact on rich countries is higher, even on a proportionate basis. Thus, while the middle income countries stare at a blank future with little upside in the age of AI, the upper income countries have the most to lose.

EXHIBIT 8: However, when it comes to wealth, the countries are relatively closely bundled, with 60%+ share of top 10 for all



Removing South Africa and Netherlands - the two extreme examples from the calculation, the wealth inequality in middle and high income countries comes out almost the same

Source: World Inequality Database, Bernstein Analysis

IMPLICATIONS FOR THE WORLD

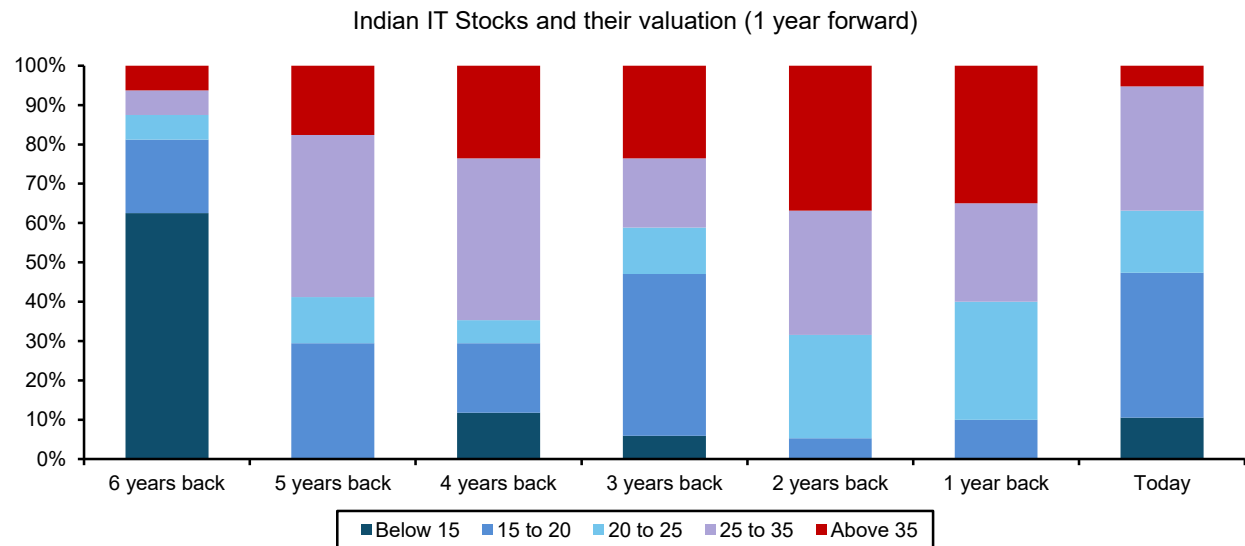
So what eventually happens - what's the AI endgame? Speaking of an endgame, while we did discuss this from the coders' perspective in a [previous note](#), the long run implications we discovered in this note warrant a much broader discussion.

1. The nearer term impact has already been overaccounted - especially with regard to IT services which sit at among the lowest valuations in this decade. This is interesting especially when we have seen in our previous notes how IT vendors will be required for AI adoption and the workforce reductions in the near term may give rise to higher margins. Most large IT players have already started receiving revenues from their AI services division
2. Once one starts going farther into the future is when things become interesting. We've seen in our previous notes how junior workforce is not entirely rendered obsolete - it rather becomes an important and highly productive pillar of the AI adoption race. We are likely looking at lesser entry level roles while some slightly senior positions are affected more. While negative for workforce overall, this will have an even larger detrimental impact on high income economies compared to young and developing economies.
3. Eventually, we see the workforce impact translating into lower demand. At this point, it is not merely about the exposed sectors of IT or knowledge industries. A decline in discretionary demand will hurt advanced economies first before it percolates to middle income countries like India. Nevertheless, it virtually kills the income transition stories and makes it almost impossible for countries to transition to high income status.
4. We believe that AI will ultimately come to be a regulated industry and significant government intervention at many levels will be a defining future of the age of full-scale AI adoption. Measures like UBI, regulations on minimum employment, or AI-linked taxes may be introduced, effectively capping the gains for late entrants.

There we have it. In the longer run, the current outsized impact on selected sectors may, in fact, turn out to be much ado about nothing because given that level of penetration that's being priced in to punish IT and information industries, the punishment should rather be spread across. Additionally, once we're in the peak AI stage and government regulations come in, accumulated wealth might become the deciding factor for consumption, where high income countries may lose out far more given an almost similar distribution of wealth as middle income countries, and a higher share of consumer households.

A pyramid collapse may be coming, and while it takes away the bright future of emerging economies, it takes away bulk of the shinier present for industrialized economies.

EXHIBIT 9: **IT stocks sit at their cheapest valuations since COVID period six years back**



Source: Bloomberg, Bernstein Analysis

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